

SENSEX AT 40: THE INDEX THAT CAME TO DEFINE INDIA'S ECONOMIC ASCENT

At the heart of India's capital markets, the Sensex is more than an index number, it has chronicled the nation's economic transformation in the past 40 years, with BSE (formerly Bombay Stock Exchange) providing the enduring institution behind the numbers.

When the Sensex was introduced in 1986, few imagined that a 30-stock index, born in closed and developing economy would transcend and showcase the coming of age of an economy which is now the fourth largest economy in the world. Four decades later, as the Sensex turns 40, it stands not merely as a market index but as India's most trusted economic barometer reflecting reforms, resilience, and the rise of a confident, globally integrated economy. Behind it stands BSE, an institution whose 150-year legacy quietly underpins the index's credibility and continuity.

An Index Born Before Its Time

The Sensex, was launched in 1986 as India's first equity benchmark. At the time, India's economy was inward-looking, tightly regulated, and equity investing remained the preserve of a small set of traders and investors , urban elite. Yet the very creation of the Sensex signalled an inflection point: a recognition that India needed a transparent, rules-based indicator to measure market performance. From the outset, the Sensex was designed to capture the pulse of the economy. Its constituents represented the top 30 companies by market capitalization in the country.

Milestones That Mirror a Nation

The Sensex's numerical milestones read like chapters in India's economic story. From a period of mounting fiscal stress to the opening up of the economy, deregulation, privatisation, and global integration changed the market's trajectory forever.

